What Is Linked to London House Prices?

Crime, Deprivation and Public Transport Across London Neighbourhoods

House prices vary widely across London, even between neighbourhoods that are geographically close.

This analysis looks at three characteristics that may help explain those differences:

- **deprivation**
- **crime**
- **public transport accessibility**

The analysis covers 4,746 London neighbourhoods (LSOAs - small statistical areas, typically 1,000-3,000 residents each) and combines publicly available data from the Office for National Statistics, Metropolitan Police, English Indices of Deprivation and Transport for London.

The key question is: **Which of these neighbourhood characteristics has the strongest relationship with house prices?**

Key Findings

Deprivation has the strongest and most consistent relationship with house prices.

Across the three characteristics, deprivation has the strongest overall relationship with house prices (r_s = -0.489), compared with total crime (r_s = -0.251) and transport accessibility (r_s = +0.136). *Correlation coefficients range from -1 to +1; values further from zero indicate a stronger relationship. Negative values indicate that higher values of one measure tend to be associated with lower house prices.*

The difference in median prices is substantial: the 10% least deprived neighbourhoods have a median house price of £750,000, compared with £416,000 for the 10% most deprived — a difference of £334,000.

Crime tells a more complicated story.

Total crime is not a simple indicator of lower house prices. Some expensive central London neighbourhoods also record very high crime, particularly theft, which weakens the overall relationship. When crime is separated by type, the pattern becomes clearer: violent crime has a much stronger negative relationship with house prices, while theft, burglary and vehicle crime have very weak relationships.

Better transport is linked with higher prices across London, mostly because of where these areas are.

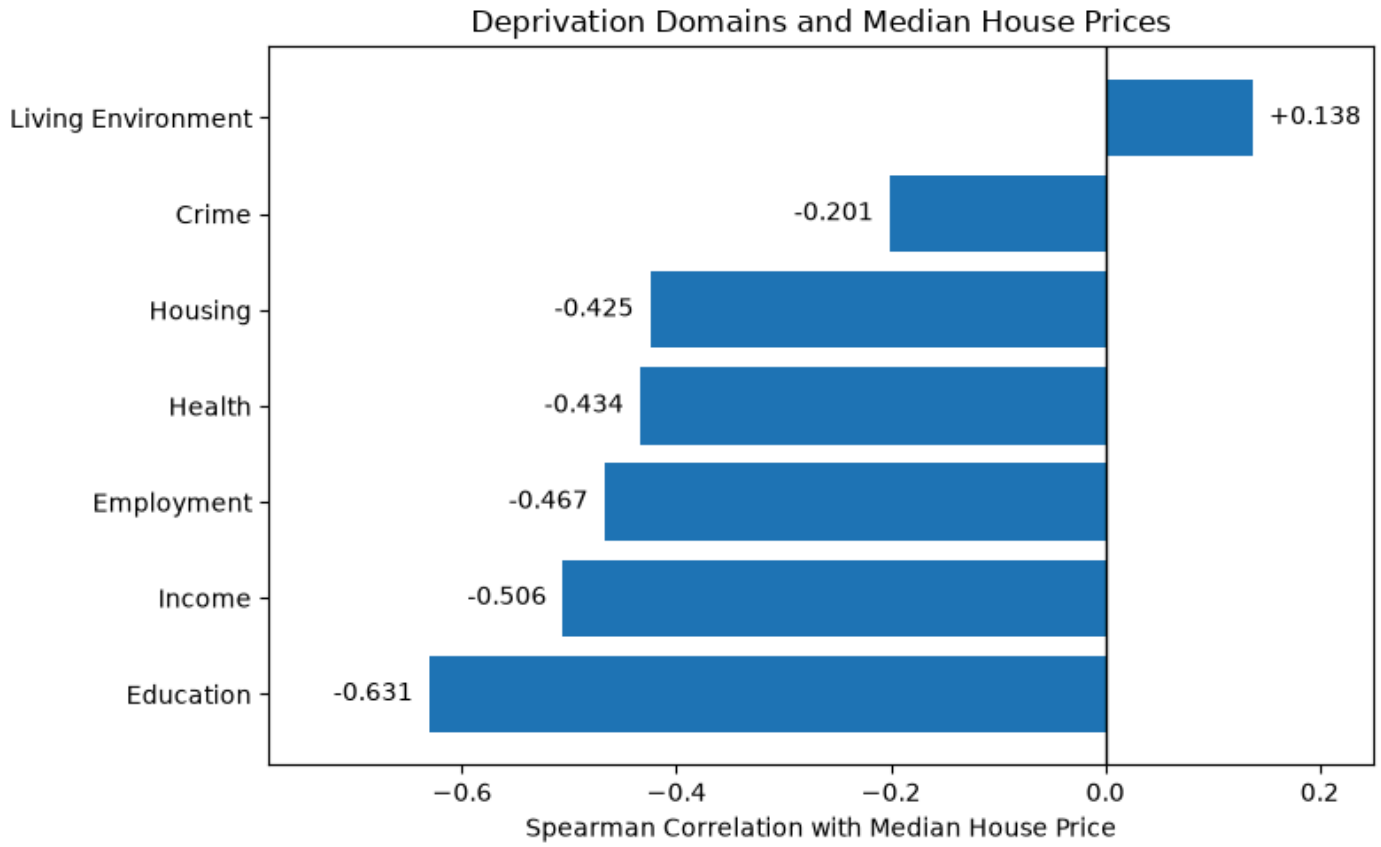
Across London, better-connected neighbourhoods generally have higher house prices. The best-connected areas are mostly in central and inner London, where house prices also tend to be higher. When neighbourhoods were compared within the same borough, however, the relationship between transport and prices largely disappeared. This suggests that, within the same part of London, better transport accessibility is not strongly associated with higher house prices and much of the London-wide pattern reflects where an area is, rather than transport alone.

Deprivation Shows the Strongest Relationship

Across London, higher deprivation is clearly associated with lower house prices. The Index of Multiple Deprivation combines income, employment, education, health, crime, housing and living environment into one score; a higher score means a more deprived area.

The difference is substantial. The **10% least deprived neighbourhoods have a median house price of £750,000**, compared with **£416,000 for the 10% most deprived neighbourhoods** — a gap of **£334,000**. The median price in the least deprived group is approximately **80% higher**.

The overall deprivation score combines several different aspects of neighbourhood disadvantage, so the next comparison looks at these domains separately and the relationship is not equally strong across every type of deprivation.



How to read this chart: each bar shows how closely one type of deprivation is linked to house prices. The further a bar extends to the left, the more strongly higher deprivation tends to be associated with lower house prices.

The differences between deprivation domains are important. They show that the overall deprivation score is not capturing one single neighbourhood characteristic. Education, income, employment, health and housing deprivation all have substantial negative relationships with house prices, while the relationship is much weaker for the crime domain. Living Environment deprivation shows a small positive relationship (one possible explanation is that some expensive central London areas also score poorly on factors such as air quality and traffic, although this was not tested directly in this analysis).

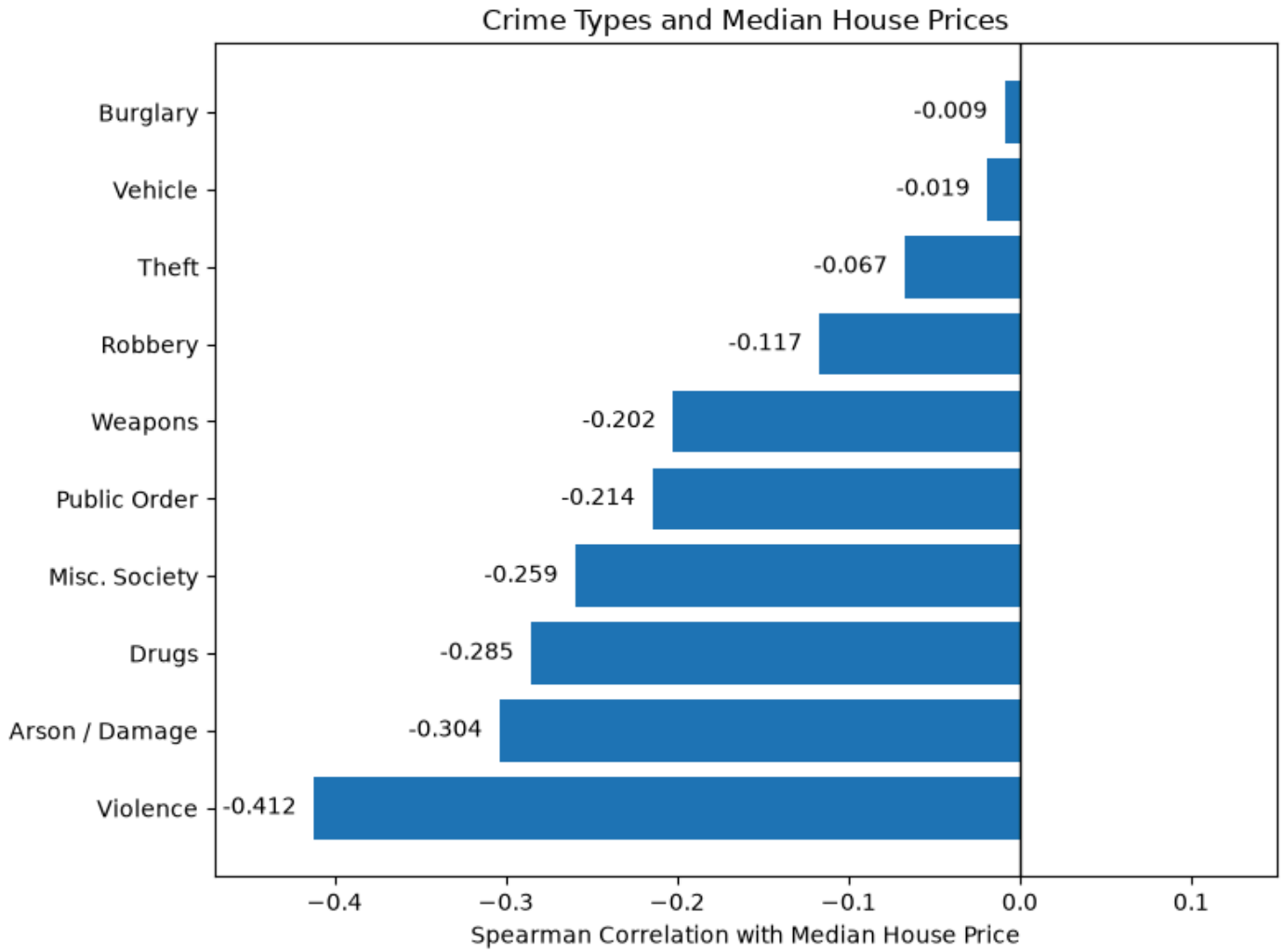
Although neighbourhood disadvantage is closely connected with differences in London property values, this does not mean deprivation directly lowers prices: prices also influence who can afford to live in an area, so the link probably works in both directions.

Crime Is More Complicated Than the Total Count

At first glance, total recorded crime has surprisingly little relationship with house prices. One reason is that several central London neighbourhoods have both very high crime counts and high house prices. Many of these areas have an unusually large proportion of theft. This is consistent with high-footfall commercial and visitor areas, where recorded crime reflects activity by workers, shoppers and tourists as well as local residents.

When these areas were temporarily set aside, the link between crime and lower prices became clearer (the Spearman correlation changed from -0.251 to -0.356, showing a noticeably stronger negative relationship between crime and house prices). However, they are genuine London neighbourhoods rather than data errors, so they were kept in the final analysis.

Looking at individual crime types gives a clearer picture.



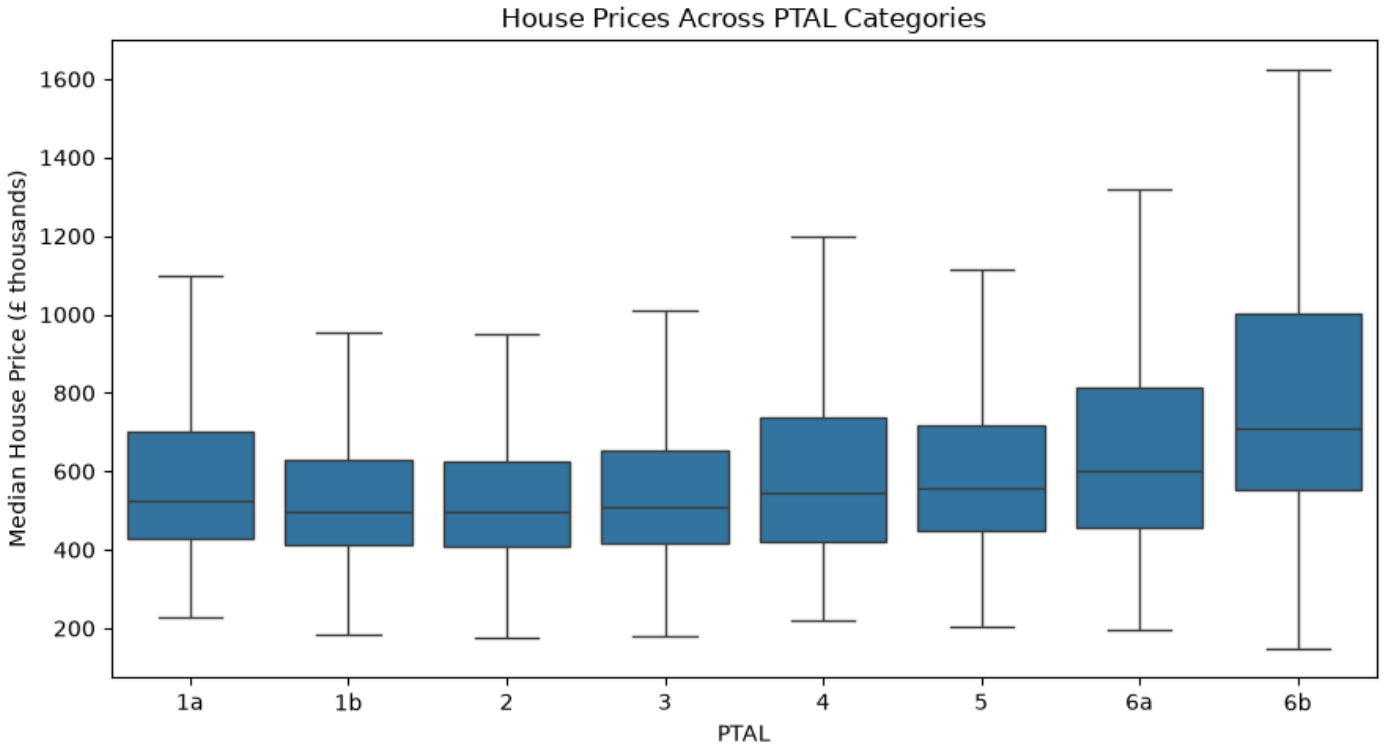
How to read this chart: each bar shows how closely one type of crime is linked to house prices. The further a bar extends to the left, the more strongly areas with more of that crime tend to have lower prices; bars close to zero mean little or no link.

Violence Against the Person has the strongest negative relationship with house prices, while theft, burglary and vehicle crime show much weaker relationships.

Total crime is therefore a misleading single measure: two neighbourhoods can have similar totals but very different mixes of crime, and the type of crime matters as much as the total.

Better Transport Is Linked With Higher Prices Across London, but Mostly Because of Where These Areas Are

Across London as a whole, neighbourhoods with better public transport accessibility generally have higher house prices. PTAL is Transport for London's rating of how easy it is to reach public transport, from 1a (poor) to 6b (excellent).



How to read this chart: each box covers the middle half of neighbourhoods in that category, and the line inside it marks the typical (median) price.

The median price reaches approximately £708,000 in PTAL 6b, the highest accessibility category, compared with about £500,000 in the middle categories.

So across London, better-connected neighbourhoods tend to have higher house prices. However, when the relationship was examined within boroughs, it became very weak. In other words, within the same borough, better transport accessibility was not strongly associated with higher house prices and improving transport in a given area probably would not raise prices there.

Looking at the Three Characteristics Together

When crime, deprivation and transport accessibility are analysed simultaneously, their relationships with house prices are very different in strength.

- A deprivation score **10 points higher** (scores across London range from about 2 to 59) is associated with house prices approximately **17.8% lower**.
- A **10% higher** transport accessibility score is associated with prices approximately **1.3% higher** across London.
- A **10% higher** total crime count is associated with prices only approximately **0.3% lower**.

Because these changes are measured on different scales, they cannot be compared directly. On a common standardised scale, deprivation has the strongest relationship (β = -0.490), followed by transport accessibility (β = 0.266), while total crime has a much smaller relationship (β = -0.043).

Together, the three characteristics explain about a quarter of the differences in house prices between neighbourhoods. This is an important result in itself: crime, deprivation and transport are associated with prices, but they explain only part of the differences in property values across London. Property type, size, tenure, school quality, proximity to central London and many other factors are also likely to be important.

What This Means

These findings are best read as a guide to where to look, not as a recipe for changing house prices.

1. Deprivation is the place to start. Of the three characteristics, deprivation is most closely tied to differences in house prices. Education, income and employment deprivation show the strongest links, so any effort to understand price gaps between neighbourhoods should consider these social conditions first.

2. Look at the type of crime, not just the total. The total number of recorded offences is a poor guide to how crime relates to house prices, partly because busy commercial areas record many offences that involve visitors rather than residents. Violent crime is more closely linked to lower prices than theft or burglary, so it gives a more useful picture of how crime may affect neighbourhoods.

3. Don't assume that better transport alone explains higher prices. Well-connected areas tend to be more expensive across London, but within the same borough the relationship is very weak. This suggests that higher prices in well-connected areas reflect a combination of transport accessibility and broader location characteristics rather than transport alone.

Overall, house prices reflect a combination of social conditions, location and accessibility, along with factors this analysis could not measure, such as the school quality and the type and size of homes.

Important Context

These results show links between neighbourhood characteristics and house prices, not proof that one causes the other. For example, areas with lower prices may attract residents with lower incomes, as well as the reverse.

Some things to keep in mind:

- The data come from different years: house prices and crime from 2022, deprivation from 2019 and transport accessibility from 2015.
- Home type, size, ownership and school quality are not included, and these also affect prices.
- Recorded crime in busy areas reflects visitors and workers as well as residents.
- Some missing house prices were estimated using nearby periods, and some crime counts were redistributed when converting between different LSOA boundaries.

More technical details are available in the project README and analysis notebook.

Data Sources

- Office for National Statistics — Median residential property prices
- Metropolitan Police Service — Recorded crime
- English Indices of Deprivation 2019
- Transport for London — Public Transport Accessibility Levels